



MEMORANDUM

CN - No. 2023-0041

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Revisions |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : PROPOSED AMENDMENTS TO THE (1) GUIDELINES IN DETERMINING THE PUBLIC OWNERSHIP OF LISTED COMPANIES; (2) AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP; AND (3) AMENDED VOLUNTARY DELISTING RULES

DATE : August 25, 2023

The Exchange is inviting all interested parties to submit their comments on the proposed amendments to the: (1) Guidelines in Determining the Public Ownership of Listed Companies; (2) Amended Rule on Minimum Public Ownership; and (3) Amended Voluntary Delisting Rules, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc@pse.com.ph until **September 8, 2023**.

(original signed)
Ramon S. Monzon
President and CEO

CMDD	FD	IRD	MOD	TD	HRD / RISK / SU	CCD / FMD / AD	OGC	COO
Tel. No.: (632) 8876-4888					E-mail Address: investing@pse.com.ph			



The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED AMENDMENTS TO THE:

(1) GUIDELINES IN DETERMINING THE PUBLIC OWNERSHIP OF LISTED COMPANIES;

(2) AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP;

AND

(3) AMENDED VOLUNTARY DELISTING RULES

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit comments on the following proposed rule amendments:

A. Guidelines in Determining the Public Ownership of Listed Companies ("Public Ownership Guidelines")

1. Rationalization of the general criteria for categorizing shares into public and non-public;
2. Clarification on the shares included in the computation of public float;
3. Clarification on what are generally considered non-public shares and public shares;

B. Amended Rule on Minimum Public Ownership ("Amended MPO Rule")

1. Codification of the different minimum public ownership ("MPO") requirements for listed companies;
2. Codification of the public float thresholds which will trigger the monthly submission of the public ownership report ("POR");
3. Clarification that the basic disclosure principles and scale of penalties in the Consolidated Listing and Disclosure Rules apply to the Amended MPO Rule;
4. Deletion of the transitory provisions relating to grace period for compliance with the MPO requirement;
5. Clarification on the available courses of action in case of non-compliance with the MPO requirement and the consequences of continued non-compliance;
6. Clarification on the effects of automatic delisting due to non-compliance with MPO requirement;
7. Deletion of the provisions relating to voluntary delisting under the Amended MPO Rule since the Amended Voluntary Delisting Rules will apply to all applications for voluntary delisting;

C. Amended Voluntary Delisting Rules

1. Amendment of the basis for the 2/3 stockholders' vote requirement from "total outstanding and listed shares" to "total issued and outstanding shares";

2. Amendment of the required ownership threshold after tender offer; and
3. Conduct of mandatory tender offer as compliance with the tender offer requirement under the Voluntary Delisting Rules.

Interested parties may submit their comments and requests for clarifications by e-mail to ogc@pse.com.ph until September 8, 2023.

II. Proposed Amendments

A. Public Ownership Guidelines

1. Rationalization of the general criteria for categorizing shares into public and non-public

Under the current Public Ownership Guidelines, shares are categorized into public and non-public based on the following criteria:

- a. Amount of shareholdings and its significance to the total outstanding shares;
- b. Purpose of investment; and
- c. Extent of involvement in the management of the company.

The Exchange has noted the subjective nature of the “purpose of an investment” and the inherent difficulty in identifying and verifying the same based on available information. Since the first and third criteria are sufficient for purposes of determining whether shares are public or non-public, the Exchange proposes to delete “purpose of investment” as a criterion.

The Exchange also believes that the classification of shareholdings as non-public should not be determined solely by the extent of the shareholders’ involvement in the management of the company since there are non-public shareholders who are not involved in the day-to-day management of the company *per se*, but nevertheless exercise influence in the affairs of the company.

The Exchange also proposes to transfer the definition of significant shareholdings to this paragraph since it is related to the first criterion.

In view of the foregoing, the Exchange proposes to revise the first paragraph of the Public Ownership Guidelines, as follows:

Existing Rule	Proposed Rule Amendment
The categorization of shareholdings into public and non-public shall be guided by the evaluation of the following:	The categorization of shareholdings <u>shares</u> into public and non-public shall be guided by the evaluation of the following <u>criteria</u> :

a. Amount of shareholding and its significance to the total outstanding shares; b. Purpose of investment; and c. Extent of involvement in the management of the company.	a. Amount of shareholdings and its significance to the total <u>issued and outstanding shares of the company.</u> <u>Shareholdings of 10% or more of the outstanding common shares of the company is considered significant; and</u> b. Purpose of investment <u>b.</u> Extent of involvement in the management of the company.
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2. Clarification on the shares included in the computation of public float

To standardize the computation of public float, the Exchange proposes to codify what are included and excluded in the computation thereof.

Based on the review of rules of other ASEAN exchanges namely, Bursa Malaysia (“BM”), Indonesia Stock Exchange (“IDX”), Stock Exchange of Thailand (“SET”) and Singapore Exchange (“SGX”), the Exchange has noted that all four exchanges include only outstanding shares in the computation of public float and exclude treasury shares. Further, BM, SET and SGX also exclude preferred shares in the computation of public float.

In this regard, the Exchange proposes to add the following provision in the Public Ownership Guidelines:

Existing Rule	Proposed Rule Amendment
None	<u>Only outstanding common shares, whether listed or unlisted, are considered in the computation of public float; preferred shares and treasury shares are excluded.</u>

3. Clarification on what are generally considered non-public and public shares

The Exchange proposes to revise the enumeration of non-public and public shares in the current Public Ownership Guidelines to clarify ambiguous and conflicting provisions, and where applicable, align with the rules of other ASEAN exchanges.

One of the conflicting provisions is the classification of shares held by funds. The current Public Ownership Guidelines provide that investment funds, mutual funds, employee pension funds which are not sponsored by the employing listed company, and social security funds are generally considered public. However, the same guidelines provide that shareholdings of

government-run social security funds are non-public if these were acquired with the intention of acquiring significant influence over the management of the company.

Based on a benchmarking of other ASEAN exchanges' rules, the Exchange has noted that SET considers shares held by mutual funds, provident funds, social security funds, retirement funds and other funds approved by relevant law as public. However, if the said entity has a representative in the management of the company, the shares held by it are considered non-public.

Likewise, BM considers shares held by a statutory institution which is managing funds belonging to contributors or investors who are members of the public or an entity established as a collective investment scheme, such as closed end funds, unit trusts or investment funds (but excluding investment holding companies), as public.

In view of the foregoing, the Exchange proposes to clarify in the Public Ownership Guidelines that common shares held by funds, including government-run funds such as the Social Security System (SSS) and the Government Service Insurance System (GSIS) are considered public, unless the fund has a Board seat in the company.

Shareholdings of directors, officers, principal stockholders, affiliates, and shares obtained by employees under employer-sponsored plans which have not yet been fully paid will continue to be considered as non-public. On the other hand, locked-up shares shall be classified as public or non-public based on the general criteria for classification of shares and the list of non-public shares.

Lastly, the Exchange proposes to define only the terms which are not yet defined in the Consolidated Listing and Disclosure Rules.

The full text of the proposed Public Ownership Guidelines, which is intended to replace the current Public Ownership Guidelines in its entirety, is attached as Annex "A".

B. Amended MPO Rule

1. Codification of the different MPO requirements for listed companies

The Exchange proposes to codify the different MPO requirements for listed companies and accordingly modify paragraph (a) of the Amended MPO Rule, as follows:

Existing Rule	Proposed Rule Amendment
(a) Listed companies shall, at all times, maintain a minimum percentage of listed securities held by the public of ten percent (10%) of the listed companies'	(a) Listed companies shall, at all times, maintain a ensure that a minimum percentage of listed securities held by the public of ten percent (10%) of the listed

issued and outstanding shares, exclusive of any treasury shares, or as such percentage that may be prescribed by the Exchange. The Exchange may impose a higher percentage effective upon receipt by the Commission of a written notice of such increase. The Exchange may decrease the percentage or suspend or remove the same only with prior approval from the Commission.

~~companies'~~ **their** issued and outstanding **common** shares, exclusive of treasury shares, **are held by the public. The minimum public ownership requirement applicable to listed companies are as follows:** ~~or such other percentage that may be prescribed by the Exchange.~~

<u>COMPANY</u>	<u>MINIMUM PUBLIC OWNERSHIP</u>
<u>Listed before the effectivity of SEC Memorandum Circular No. 13, series of 2017</u>	<u>10%</u>
<u>Listed after the effectivity of SEC Memorandum Circular No. 13, series of 2017</u>	<u>20%</u>
<u>Companies listed by way of introduction and backdoor-listed on or after the effectivity of the 2020 PSE Guidelines on MPO Requirement for Initial and Backdoor Listings</u>	<u>20%</u>
<u>Real Estate Investment Trusts</u>	<u>33.33%</u>

The Exchange may impose a higher percentage effective upon receipt by the Commission of a written notice of such increase. The Exchange may decrease the percentage or suspend or remove the same only with prior approval from the Commission.

2. Codification of the different public float thresholds which will trigger the monthly submission of the POR

The Exchange proposes to codify the different public float thresholds which will trigger the monthly submission of the POR and accordingly revise paragraph (f) of the Amended MPO Rule, as follows:

Existing Rule	Proposed Rule Amendment								
(f) Listed companies shall submit to the Exchange a Public Ownership Report ("POR") within fifteen (15) calendar days after the end of each quarter: Provided, That, if the public float of a listed company falls below twelve percent (12%) of its issued and outstanding shares, exclusive of any treasury shares, the listed company shall submit to the Exchange a POR within fifteen (15) calendar days after the end of each month, until such time that its public float is 12% or higher.	(f) <u>Without prejudice to the requirement of immediate disclosure in paragraph (c) above,</u> listed companies shall submit to the Exchange a Public Ownership Report ("POR") within fifteen (15) calendar days after the end of each quarter: Provided, That, if the public float of a listed company falls below twelve percent (12%) <u>the applicable Monthly Reporting Threshold</u>, the listed company shall submit to the Exchange a POR within fifteen (15) calendar days after the end of each month, until such time that its public float is 12% or higher <u>at or above the applicable Monthly Reporting Threshold. The Monthly Reporting Thresholds based on the listed company's issued and outstanding common shares are, as follows:</u> <table> <tr> <th><u>COMPANY</u></th><th><u>MONTHLY REPORTING THRESHOLD</u></th></tr> <tr> <td><u>Listed before the effectivity of SEC Memorandum Circular No. 13, series of 2017</u></td><td><u>12%</u></td></tr> <tr> <td><u>Listed after the effectivity of SEC Memorandum Circular No. 13, series of 2017</u></td><td><u>24%</u></td></tr> <tr> <td><u>Companies listed by way of introduction and backdoor-listed after the effectivity of the 2020 PSE Guidelines on MPO</u></td><td><u>24%</u></td></tr> </table>	<u>COMPANY</u>	<u>MONTHLY REPORTING THRESHOLD</u>	<u>Listed before the effectivity of SEC Memorandum Circular No. 13, series of 2017</u>	<u>12%</u>	<u>Listed after the effectivity of SEC Memorandum Circular No. 13, series of 2017</u>	<u>24%</u>	<u>Companies listed by way of introduction and backdoor-listed after the effectivity of the 2020 PSE Guidelines on MPO</u>	<u>24%</u>
<u>COMPANY</u>	<u>MONTHLY REPORTING THRESHOLD</u>								
<u>Listed before the effectivity of SEC Memorandum Circular No. 13, series of 2017</u>	<u>12%</u>								
<u>Listed after the effectivity of SEC Memorandum Circular No. 13, series of 2017</u>	<u>24%</u>								
<u>Companies listed by way of introduction and backdoor-listed after the effectivity of the 2020 PSE Guidelines on MPO</u>	<u>24%</u>								

	<u>Requirement for Initial and Backdoor Listings</u>	
	<u>REITs</u>	<u>39.996%</u>

3. Clarification that the basic disclosure principles and scale of penalties in the Consolidated Listing and Disclosure Rules apply to the Amended MPO Rule

The Exchange proposes to clarify that the basic disclosure principles and scale of penalties in the Consolidated Listing and Disclosure Rules apply to the Amended MPO Rule and add the following new provisions in paragraph (f) of the Amended MPO Rule:

Existing Rule	Proposed Rule Amendment
None	<u>Listed companies shall ensure that the POR is timely filed and contains full and accurate information in accordance with Section 1 of Article VII of the Consolidated Listing and Disclosure Rules.</u> <u>Any violation of the reportorial requirements under this Amended MPO Rule shall result in the imposition of the applicable penalties under Section 1, Article VIII of the Consolidated Listing and Disclosure Rules.</u>

4. Deletion of the transitory provisions relating to grace period for compliance with the MPO requirement

The Exchange proposes to delete the transitory provisions which allow a grace period for compliance with the MPO requirement for listed companies that were not compliant as of December 31, 2011 and December 31, 2012 since these are no longer relevant. Thus, paragraphs (g), (h) and (i) of the Amended MPO Rule will be marked “deleted” while the period in paragraph (j) will be removed. Paragraph (l) is also proposed to be deleted because the Exchange is unable to grant a grace period and allow the continued trading through the Exchange of shares of non-MPO compliant companies, in view of BIR revenue regulations imposing a capital gains tax and documentary stamp tax on trading of shares of non-MPO compliant companies.

Existing Rule	Proposed Rule Amendment
(g) Companies which are non-compliant with the MPO as of December 31, 2011 may be allowed a grace period to comply with the MPO. The grace period shall be reckoned from	(g) [Deleted]

the date of effectivity of these amendments and shall not exceed twelve (12) months but not beyond December 31, 2012. (h) Listed companies other than those under paragraph (g) that are non-compliant with the MPO may be allowed a grace period to comply with the MPO to be reckoned from either: (i) the date when the listed company makes a disclosure that its public ownership level has fallen below the MPO prescribed by the Exchange; or (ii) when the listed company submits its quarterly Public Ownership Report which shows that the listed company has not complied with the MPO requirement, whichever comes earlier, and such grace period shall not exceed twelve (12) months but not beyond December 31, 2012. (i) Immediately after the grace period, the Exchange shall impose a trading suspension for a period of not more than six (6) months. If after the lapse of the suspension period, a listed company remains non-compliant with the MPO, it shall automatically be delisted. (j) Listed companies which become non-compliant with the MPO on or after January 1, 2013 shall be suspended from trading for a period of not more than six (6) months and shall be automatically delisted if it remains non-compliant with the MPO after the lapse of the suspension period. xxx (l) In cases falling under paragraph (h) of these rules, a listed company which is non-compliant with the MPO may apply with the Exchange for an extension of the grace period or in cases under paragraph (j) for granting of a grace period.	(h) [Deleted] (i) [Deleted] (j) Listed companies which become non-compliant with the MPO on or after January 1, 2013 shall be suspended from trading for a period of not more than six (6) months and shall be automatically delisted if it remains non-compliant with the MPO after the lapse of the suspension period. xxx (l) [Deleted]
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The Exchange, after determining that the shortfall in the public ownership in any of said cases is due to justifiable causes and the listed company has a concrete program to restore the public ownership level to the required percentage, may recommend to the Commission for approval the extension of the grace period or granting of a grace period for such reasonable period. For purposes of these rules, justifiable causes may include tender offer and merger and acquisition transactions.	
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5. Clarification on the available courses of action in case of non-compliance with the MPO requirement and the consequences of continued non-compliance

During the 6-month suspension period, listed companies which are under trading suspension due to non-compliance with the MPO requirement may either (i) take actions to restore its compliance; or (ii) file a petition for voluntary delisting pursuant to the Amended Voluntary Delisting Rules. These are options available to listed companies even under the current rule but for better guidance, the Exchange proposes to expressly state these in the Amended MPO Rule.

If the listed company does not voluntarily delist and remains non-compliant with the MPO requirement after the lapse of the 6-month suspension, the listed company will be automatically delisted.

However, if the listed company files a petition for voluntary delisting within the suspension period but the petition has not yet been approved for reasons beyond the control of the listed company, the Exchange may defer the automatic delisting of the company.

In view of the foregoing, the Exchange proposes the following amendments to paragraph (j) of the Amended MPO Rule:

Existing Rule	Proposed Rule Amendment
(j) Listed companies which become non-compliant with the MPO on or after January 1, 2013 shall be suspended from trading for a period of not more than six (6) months and shall be automatically delisted if it remains non-compliant with the MPO after the lapse of the suspension period.	(j) Listed companies which become non-compliant with the <u>applicable MPO requirement</u> on or after January 1, 2013 shall be suspended from trading for a period of not more than six (6) months, <u>during which it may either take actions to restore its compliance with the MPO requirement, or file a petition for voluntary delisting</u>

	<u>pursuant to the Amended Voluntary Delisting Rules.</u> <u>If the listed company does not voluntarily delist and shall be automatically delisted if it remains non-compliant with the applicable MPO requirement after the lapse of the suspension period, it will be automatically delisted, provided, that, if it files a petition for voluntary delisting within the 6-month suspension period but the petition has not yet been approved by the end of the suspension period for reasons beyond the control of the listed company, the Exchange shall have the discretion to suspend the imposition of automatic delisting.</u>
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6. Clarification on the effects of automatic delisting due to non-compliance with MPO requirement

The Exchange proposes to clarify that in case a company is automatically delisted due to non-compliance with the MPO requirement, the procedure for delisting under the PSE Involuntary Delisting Rules will not apply but the entire section on relisting prohibition will. Therefore, the delisted company cannot apply for relisting within a period of five (5) years from the time it was delisted. Further, the company's directors and principal officers shall be disqualified from becoming directors or principal officers of any company applying for listing within the same period counted from the time of delisting. Under the proposed revised Public Ownership Guidelines, "principal officers" include the President, Secretary and Treasurer of the listed company; the officers provided in the listed company's By-laws; the executive or key officers declared in the listed company's Annual Report; and any officer of the listed company who, individually or collectively with others, is in charge of the management of the listed company and/or who is a member of the listed company's Management Committee or equivalent committee.

In view of the foregoing, the Exchange suggests to revise paragraph (k) of the Amended MPO Rule, as follows:

Existing Rule	Proposed Rule Amendment
(k) The Involuntary Delisting Rules of the Exchange will not apply to the delisting of the listed company's securities covered by these	(k) The <u>procedures for delisting in the</u> Involuntary Delisting Rules of the Exchange will not apply to the <u>automatic</u> delisting of the listed company's securities covered by these

rules on MPO but the five (5)-year prohibition on relisting shall apply.	rules on MPO <u>companies which are non-compliant with the MPO requirement</u> but the five (5)-year prohibition on relisting shall apply. <u>A company that has been automatically delisted for non-compliance with the MPO requirement cannot apply for relisting within a period of five (5) years from the time it was delisted. Directors and principal officers of such company are disqualified from becoming directors or principal officers of any company applying for listing within the same period counted from the time of delisting.</u>
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7. Deletion of the provisions relating to voluntary delisting under the Amended MPO Rule

To avoid confusion, the Exchange proposes to delete paragraph (m) of the Amended MPO Rule which relates to the conduct of a tender offer and required ownership threshold in case of voluntary delisting under the Amended MPO Rule since the tender offer requirement is already incorporated in the Amended Voluntary Delisting Rules.

The full text of the proposed Amended Rule on Minimum Public Ownership, marked up with the proposed revisions, is attached as Annex “B”.

C. Amended Voluntary Delisting Rules

1. Amendment of the basis for the 2/3 stockholders’ vote requirement from “total outstanding and listed shares” to “total issued and outstanding shares”

The Exchange has noted that holders of outstanding but unlisted shares expect their shares to be listed eventually in view of the rule requiring listing of all issued and outstanding shares of the same class as the initially listed shares; hence, they should also be allowed to participate in the decision to delist. In view of this, the Exchange proposes to amend the basis for the 2/3 stockholders’ vote requirement under the Amended Voluntary Delisting Rules from “total outstanding and listed shares” to “total issued and outstanding shares” and accordingly revise Section 2(a) of the Amended Voluntary Delisting Rules, as follows:

Existing Rule	Proposed Rule Amendment
Section 2. The Exchange will allow the delisting of the security upon petition of the	Section 2. The Exchange will allow the delisting of the security upon petition of the

Listed Company if all of the following are complied with: (a) The delisting is approved by at least two-thirds (2/3) of the entire membership of the Board, including the majority, but not less than two, of all of its independent directors, and stockholders owning at least two-thirds (2/3) of the total outstanding and listed shares of the Company. Further, the number of votes cast against the delisting proposal should not be more than ten percent (10%) of the total outstanding and listed shares of the Listed Company. For purposes of these rules, “outstanding and listed shares” shall mean the listed voting shares of stock, whether common or preferred, issued under binding subscription contracts to subscribers or stockholders, whether fully or partially paid, except treasury shares. The stockholders shall cast their votes either in person or by proxy in a duly convened stockholders’ meeting, or when so authorized in the Listed Company’s by-laws, through remote communication, voting in absentia or written assent.	Listed Company if all of the following are complied with: (a) The delisting is approved by at least two-thirds (2/3) of the entire membership of the Board, including the majority, but not less than two, of all of its independent directors, and stockholders owning at least two-thirds (2/3) of the total issued and outstanding and listed shares of the Company. Further, the number of votes cast against the delisting proposal should not be more than ten percent (10%) of the total issued and outstanding and listed shares of the Listed Company. For purposes of these rules, “issued and outstanding and listed shares” shall mean the listed voting shares of stock, whether common or preferred, all shares of the same class as the existing listed shares issued under binding subscription contracts to subscribers or stockholders, whether fully or partially paid, except treasury shares. The stockholders shall cast their votes either in person or by proxy in a duly convened stockholders’ meeting, or when so authorized in the Listed Company’s by-laws, through remote communication, voting in absentia or written assent.
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2. Amendment of the required ownership threshold after tender offer

Under the current Amended Voluntary Delisting Rules, the delisting proponent is required to obtain at least 95% of the issued and outstanding shares of the listed company after the conduct of the tender offer in order for the listed company to qualify for voluntary delisting.

The Exchange proposes to revise the foregoing requirement to align with the MPO rule and avoid a situation where the Exchange cannot approve a petition for voluntary delisting because of the failure to obtain the 95% threshold, but the company will eventually be involuntarily delisted for non-compliance with the MPO requirement.

In view of the foregoing, the Exchange suggests to amend Section 2(e) of the Amended Voluntary Delisting Rules, as follows:

Existing Rule	Proposed Rule Amendment
The person(s) proposing the delisting must show to the Exchange that following the acquisition of the tendered shares, said person(s) have obtained a total of at least ninety-five percent (95%) of the issued and outstanding shares of the Listed Company. However, if at the time the petition for delisting is filed, the person(s) proposing the delisting are already the beneficial owners of ninety-five percent (95%) or more of the issued and outstanding shares of the Listed Company, said person(s) shall still be required to make a tender offer to all other stockholders of record.	The person(s) proposing the delisting must show to the Exchange that following the acquisition of the tendered shares, said person(s) have obtained a total of at least ninety five percent (95%) of the issued and outstanding shares of the Listed Company <u>as a result of the acquisition of the tendered shares, the number of shares held by the public has fallen below the applicable MPO requirement</u> . However, if at the time the petition for delisting is filed, <u>the public ownership level of the Listed Company is already below the applicable MPO requirement</u> , the person(s) proposing the delisting are already the beneficial owners of ninety five percent (95%) or more of the issued and outstanding shares of the Listed Company, said person(s) shall still be required to make a tender offer to all other stockholders of record <u>and accept all tendered shares</u> .

3. Conduct of mandatory tender offer requirement as compliance with the tender offer requirement under the Voluntary Delisting Rules

The Exchange proposes to clarify that it may consider a mandatory tender offer ("MTO") undertaken pursuant to the Securities Regulation Code as compliance with the tender offer requirement in the Amended Voluntary Delisting Rules if the MTO complies with all the requirements in the Amended Voluntary Delisting Rules (*i.e.*, minimum tender offer price, notice to and approval by stockholders) and will not result in the circumvention of investor protection provisions.

Accordingly, the Exchange suggests to add the following new provision in Section 2(e) of the Amended Voluntary Delisting Rules:

Existing Rule	Proposed Rule Amendment
None	<u>Any mandatory tender offer ("MTO") undertaken pursuant to the Securities Regulation Code may be considered as</u>

	<u>compliance with the tender offer requirement in the Amended Voluntary Delisting Rules if the MTO complies with all the requirements of the Amended Voluntary Delisting Rules and will not result in circumvention of the investor protection provisions of said rule.</u>
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The full text of the Amended Voluntary Delisting Rules with the proposed revisions, is attached as Annex "C".

ANNEX "A"

GUIDELINES IN DETERMINING THE PUBLIC OWNERSHIP OF LISTED COMPANIES

1. Definition of Terms

For purposes of these Guidelines, the terms, "affiliate", "associate", "beneficially owned", "director", "parent company", and "subsidiary" shall have the same meaning as provided in the Consolidated Listing and Disclosure Rules.

In addition, the following definition of terms shall apply, unless the context otherwise requires:

- a. **Controlling shareholder** shall mean a shareholder who has control over the listed company, the term "control" having the meaning given in Rule 3.1.8 of the 2015 Implementing Rules and Regulations of the Securities Regulation Code.
- b. **Employer-sponsored plan** shall mean a type of benefit plan, program or arrangement offered by employer to employees and shall include, but not be limited to, stock option plans, stock purchase plans, retirement plans, savings plans, incentive compensation programs, and pension funds.
- c. **Funds** shall include, but not be limited to, pension and retirement funds (except employer-sponsored pension and retirement funds classified as non-public), unit investment trust funds, mutual funds, and any arrangement whereby funds are solicited from the investing public for the purpose of investment, reinvestment and trading in securities or other assets.
- d. **Principal officers** shall mean the President, Secretary and Treasurer of the listed company; the officers provided in the listed company's By-laws; the executive or key officers declared in the listed company's Annual Report; and any officer of the listed company who, individually or collectively with others, is in charge of the management of the listed company and/or who is a member of the listed company's Management Committee or equivalent committee.

2. General Criteria for Share Classification

The categorization of shares into public and non-public shall be guided by the evaluation of the following criteria:

- a. Amount of shareholdings and its significance to the total issued and outstanding shares of the company. Shareholdings of 10% or more of the outstanding common shares of the company is considered significant; and
- b. Extent of involvement in the company.

Only outstanding common shares, whether listed or unlisted, are considered in the computation of public float; preferred shares and treasury shares are excluded.

3. Non-Public Shares

The following are considered non-public shares:

- a. Common shares directly, indirectly, or beneficially owned by a stockholder amounting to at least 10% of the total outstanding common shares;
- b. Common shares directly, indirectly, or beneficially owned by a stockholder who has representation in the Board;
- c. Common shares directly, indirectly, or beneficially owned by directors (including independent directors), principal officers and the Chairman Emeritus (or equivalent position) of the company;
- d. Common shares directly, indirectly or beneficially owned by the parent company, a subsidiary, an affiliate or an associate of the company;
- e. Common shares held by a controlling shareholder; and
- f. Common shares of employees under an employer-sponsored plan which have not yet been fully paid by and issued to the employees.

4. Public Shares

All other common shares not falling under Section 3 above are generally considered public shares, unless the PSE determines that said shares are non-public using the general criteria for determining share classification.

Without limiting the generality of the foregoing, the following are considered public shares:

- a. Common shares held by individuals which are not of significant size;
- b. Common shares held by Trading Participants, except those determined as non-public shares;
- c. Common shares held by Funds, including government-run funds such as the Social Security System (SSS) and the Government Service Insurance System (GSIS), regardless of the amount of shareholdings, unless the Fund has a Board seat in the company;
- d. Common shares lodged under the PCD Nominee Corp. account of the Philippine Depository and Trust Corporation (PDTC), except those determined as non-public shares; and
- e. Underlying common shares of Philippine Depositary Receipts (PDRs) and depository receipts issued in overseas exchanges, except those determined as non-public shares.

ANNEX "B"

Amended Rule on Minimum Public Ownership

(a) Listed companies shall, at all times, **ensure that a minimum percentage of their** issued and outstanding common shares, exclusive of treasury shares, **are held by the public.** **The minimum public ownership requirement applicable to listed companies are as follows:**

<u>COMPANY</u>	<u>MINIMUM PUBLIC OWNERSHIP</u>
<u>Listed before the effectivity of SEC Memorandum Circular No. 13, Series of 2017</u>	<u>10%</u>
<u>Listed after the effectivity of SEC Memorandum Circular No. 13, Series of 2017</u>	<u>20%</u>
<u>Companies listed by way of introduction and backdoor-listed after the effectivity of the 2020 PSE Guidelines on MPO Requirement for Initial and Backdoor Listings</u>	<u>20%</u>
<u>Real Estate Investment Trusts</u>	<u>33.33%</u>

The Exchange may impose a higher percentage effective upon receipt by the Commission of a written notice of such increase. The Exchange may decrease the percentage or suspend or remove the same only with prior approval from the Commission.

- (b) For purposes of this section, public ownership shall be determined based on the Guidelines in Determining the Public Ownership of Listed Companies. Any amendment to the said guidelines shall be subject to prior approval of the Commission.
- (c) A listed company shall immediately disclose to the Exchange **in accordance with Section 4.1 of the Revised Disclosure Rules once** the number of **issued and outstanding common shares** which are in the hands of the public has fallen below the prescribed minimum percentage.

For this purpose, all listed companies shall establish an effective procedure for monitoring of public float, which shall include, at the minimum, a computation of public float on a monthly basis.

- (d) Once the listed company becomes aware that the number of its **issued and outstanding common shares** in the hands of the public has fallen below the prescribed minimum percentage, the listed company shall take steps to ensure compliance at the earliest possible time, and shall immediately disclose to the Exchange such steps.
- (e) A listed company shall include in its annual report a statement on the level of its public float. The statement should **include, but not be limited to, information known or should have been known to the listed company and/or its directors and/or principal officers and information that is publicly available to the listed company** as at the end of the fiscal year, or at latest practicable date, prior to the issuance of the annual report.
- (f) **Without prejudice to the requirement of immediate disclosure in paragraph (c) above,** listed companies shall submit to the Exchange a Public Ownership Report ("POR") within fifteen (15) calendar days after the end of each quarter: Provided, That, if the public float of a listed company falls below **the applicable Monthly Reporting Threshold**, the listed company shall submit to the Exchange a POR within fifteen (15) calendar days after the end of each month, until such time that its public float is **at or above the Monthly Reporting Threshold**.

The Monthly Reporting Thresholds based on the listed company's issued and outstanding common shares are, as follows:

<u>COMPANY</u>	<u>MONTHLY REPORTING THRESHOLD</u>
<u>Listed before the effectivity of SEC Memorandum Circular No. 13, series of 2017</u>	<u>12%</u>
<u>Listed after the effectivity of SEC Memorandum Circular No. 13, series of 2017</u>	<u>24%</u>
<u>Companies listed by way of introduction and backdoor-listed after the effectivity of the 2020 PSE Guidelines on MPO Requirement for Initial and Backdoor Listings</u>	<u>24%</u>
<u>Real Estate Investment Trusts</u>	<u>39.996%</u>

Listed companies shall ensure that the POR is timely filed and contains full and accurate information in accordance with Section 1 of Article VII of the Consolidated Listing and Disclosure Rules.

Any violation of the reportorial requirements under this Amended MPO Rule shall result in the imposition of the applicable penalties under Section 1, Article VIII of the Consolidated Listing and Disclosure Rules.

(g) [Deleted]

(h) [Deleted]

(i) [Deleted]

(j) Listed companies which become non-compliant with the applicable MPO requirement shall be suspended from trading for a period of not more than six (6) months, during which it may take actions to restore its compliance with the MPO requirement, or file a petition for voluntary delisting pursuant to the Amended Voluntary Delisting Rules.

If the listed company does not voluntarily delist and remains non-compliant with the applicable MPO requirement after the lapse of the suspension period, it will be automatically delisted, provided, that, if it files a petition for voluntary delisting within the 6-month suspension period but the petition has not yet been approved by the end of the suspension period for reasons beyond the control of the listed company, the Exchange shall have the discretion to suspend the imposition of automatic delisting.

(k) The procedures for delisting in the Involuntary Delisting Rules of the Exchange will not apply to the automatic delisting of companies which are non-compliant with the MPO requirement but the five (5)-year prohibition on relisting shall apply.

A company that has been automatically delisted for non-compliance with the MPO requirement cannot apply for relisting within a period of five (5) years from the time it was delisted. Directors and principal officers of such company are disqualified from becoming directors or principal officers of any company applying for listing within the same period counted from the time of delisting.

(l) [Deleted]

(m) [Deleted]

ANNEX "C"

AMENDED VOLUNTARY DELISTING RULES

SECTION 1. A Listed Company may not apply for voluntary delisting if involuntary delisting proceedings have already been initiated.

SECTION 2. The Exchange will allow the delisting of the security upon petition of the Listed Company if all of the following are complied with:

- (a) The delisting is approved by at least two-thirds (2/3) of the entire membership of the Board, including the majority, but not less than two, of all of its independent directors, and stockholders owning at least two-thirds (2/3) of the total **issued and** outstanding ~~and listed~~ shares of the Company. Further, the number of votes cast against the delisting proposal should not be more than ten percent (10%) of the total **issued and** outstanding ~~and listed~~ shares of the Listed Company.

For purposes of these rules, "**issued and** outstanding ~~and listed~~ shares" shall mean ~~the listed voting shares of stock, whether common or preferred,~~ **all shares of the same class as the existing listed shares** issued under binding subscription contracts to subscribers or stockholders, whether fully or partially paid, except treasury shares.

The stockholders shall cast their votes either in person or by proxy in a duly convened stockholders' meeting, or when so authorized in the Listed Company's by-laws, through remote communication, voting in absentia or written assent.

- (b) All security holders must be notified, in the manner and within the period provided in the Company's by-laws, of the meeting at which the proposed delisting will be submitted for stockholders' approval. If stockholders' vote will be obtained through remote communication, voting in absentia or by written assent, the Listed Company shall give all stockholders at least two (2) weeks to cast their votes or submit their written assent or dissent.
- (c) A petition for delisting must be filed with the Exchange together with the tender offer report at least sixty (60) days prior to the date when delisting shall become effective.
- (d) A tender offer to all stockholders of record must be made. The Listed Company must submit a fairness opinion or valuation report, stating the fair value or range of fair values of the listed security, based upon certain procedures followed and assumptions made. The minimum tender offer price shall be the higher of:
 - i. The highest valuation based on the fairness opinion or valuation report prepared by an independent valuation provider in accordance with SRC Rule 19.2.6; or

- ii. Volume weighted average price of the listed security for one year immediately preceding the date of posting of the disclosure of the approval by the Company's Board of Directors of the Company's delisting from the Exchange.

If the Listed Company has been under suspension for one year or more as of the disclosure of the aforementioned Board approval, then the tender offer price shall be the highest valuation based on the fairness opinion or valuation report prepared by an independent valuation provider.

- (e) The person(s) proposing the delisting must show to the Exchange that ~~following the acquisition of the tendered shares, said person(s) have obtained a total of at least ninety five percent (95%) of the issued and outstanding shares of the Listed Company~~ **as a result of the acquisition of the tendered shares, the number of shares held by the public has fallen below the applicable MPO requirement.** However, if at the time the petition for delisting is filed, **the public ownership level of the Listed Company is already below the applicable MPO requirement,** the person(s) proposing the delisting ~~are already the beneficial owners of ninety five percent (95%) or more of the issued and outstanding shares of the Listed Company, said person(s) shall still be required to make a tender offer to all other stockholders of record~~ **and accept all tendered shares.**

Any mandatory tender offer ("MTO") undertaken pursuant to the Securities Regulation Code may be considered as compliance with the tender offer requirement in the Amended Voluntary Delisting Rules if the MTO complies with all the requirements of the Amended Voluntary Delisting Rules and will not result in circumvention of the investor protection provisions of said rule.

- (f) The Listed Company applying for delisting must not have any unpaid fees or penalties due to the Exchange.
- (g) The Listed Company must pay the voluntary delisting fee equivalent to its annual listing maintenance fee for the year when the petition for voluntary delisting was filed.

SECTION 3. The Exchange may impose appropriate condition/s for the protection of investors before delisting is allowed.

SECTION 4. In the event that an issuer seeks the listing of a security that was once voluntarily delisted, the same shall be treated as a new listing. The relisting prohibition under Involuntary Delisting Rules will not apply.